BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

June 24, 2025

Rebuttal Testimony of:

Site Investigation and

Remediation Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
SITE INVESTIGATION AND REMEDIATION PANEL
REBUTTAL TESTIMONY

PANEL INTRODUCTION

Q. Would members of the Site Investigation and Remediation Panel ("Panel") please state their names and business addresses?

A. Venetia Lannon, 4 Irving Place, New York, New York 10003 and Anita Ma, 31-01 20th Avenue, Astoria, New York 11105.

Q. Has the Panel previously submitted testimony in this proceeding?

A. Yes. We submitted initial testimony in this proceeding.

Q. What is the purpose of this testimony?

A. Our testimony responds to the initial testimony of Krysta Aadahl and Chris Logan ("Staff SIR Panel") filed on behalf of the New York State Department of Public Service ("Staff"). Specifically, we address Staff's proposals to decrease the Rate Year projections for the Company's Site Investigation and Remediation ("SIR") program. To the extent that an issue is raised by Staff or intervenors but not addressed specifically by this Panel, the positions stated therein should not be viewed or considered to have been accepted by Consolidated Edison Company of New York, Inc. ("Con Edison" or "the Company").

REBUTTAL TESTIMONY

Q. Does Staff's proposal for the Company's SIR program cost projections differ from the Company's?

A. Yes, for the Rate Year (*i.e.*, the year ending December 31, 2026), the Staff SIR Panel proposed in its initial testimony to make an across-the-board reduction of 57% to the entire SIR Program costs. (Staff SIR Testimony at p. 20). In response to an interrogatory from the Company asking Staff to correct a numerical error, the Staff SIR Panel subsequently updated this to a 37% across-the-board reduction (the "Global Adjustment"). (Staff Response to Con Edison Interrogatory 4-45, MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-8)). For Rate Years 2 and 3 (*i.e.*, the years ending 2027 and 2028), the Staff SIR Panel has not indicated a change.

Q. Did this numerical error have any other impact?

A. Yes, the Staff SIR Panel proposed in its initial testimony to reduce the Company's amortization for electric from $20.616 million to $13.854 million and the Company's amortization for gas from $2.928 million to $0.917 million. (Staff SIR Panel Testimony p. 21, Exhibit__(SSIRP-3) p. 1). These amortization dollar values for the Rate Year in

the Staff SIR Panel's initial testimony appear to rely on the same numerical error noted above, and Staff apparently also adjusted these values. (Staff Response to Con Edison Interrogatory 7-83, which is attached as an exhibit to the Company's Accounting Panel Rebuttal Testimony).

Q. Does the Staff SIR Panel disagree in principle with the Company's SIR program projections for the costs associated with each site?

A. No. The Staff SIR Panel's initial testimony does not indicate a disagreement with the costs that the Company anticipates for implementing specific projects associated with the SIR program.

Q. Does the Staff SIR Panel find that the Company's SIR program satisfies the Commission's Inventory of Best Practices for Utility SIR Programs?

A. Yes, it does. (Staff SIR Testimony p. 15).

Q. How does Staff arrive at its recommended downward adjustment of 37% for the Rate Year?

A. This is based on Staff's calculation of the Company's average historical underspending during calendar years 2022 through 2024. (Staff SIR Testimony pp. 17-21). More specifically, by comparing the Company's historical

spending to cost projections in the Company's Annual SIR Reports for the years 2022 through 2024, Staff concludes that there was an average underspend of approximately 47%. (Staff SIR Testimony p. 20; Staff Response to Con Edison Interrogatory 4-45(b), attached in Exhibit __ (EHS-8)). Based on that conclusion, and a 10% adjustment as a "contingency imputation to provide the Company with more budget flexibility," the Staff SIR Panel proposes to apply the Global Adjustment of 37%. (Staff SIR Testimony p. 20; Staff Response to Con Edison Interrogatory 4-45(b), attached in Exhibit __ (EHS-8)).

Q. Do you agree with the rationale behind the Staff SIR Panel's recommended Global Adjustment?

A. No, we do not. The Global Adjustment is arbitrary and solely based on a general look-back to the Company's 2022 through 2024 underspending. It is unrelated to the Company's specific cost projections for the Rate Year, and it does not consider the cost adjustments already incorporated into the Company's forecasts for the Rate Year. Historical spending over a three-year period is not necessarily indicative of future spending because

individual projects, scopes of work, and phases of work in a given year vary from prior years.

Q. Are there additional reasons why you disagree with the recommended Global Adjustment?

A. Yes. The Staff SIR Panel considers the Company to have "used the same approach to forecast spending [in its initial testimony] as it has historically, which has previously resulted in underspending" (Staff Response to Con Edison Interrogatory 4-47, MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-9)). However, in this Rate Case, Con Edison projected that approximately 90% of its SIR costs for the Rate Year will be associated with 9 key sites. (Company SIR Testimony at 11-12). To address Staff's expressed concerns about the potential uncertainties involved in projecting SIR expenditures, the Company analyzed these key sites in light of the factors that typically result in significant timing variations for site expenditures. Based on that evaluation and each site's remedial phase, many of these uncertainty factors (such as access and cooperation from third-party property owners) either are not applicable or were incorporated into the Company's cost and schedule projections in its initial

testimony. Additionally, each of these sites (or portions thereof) have reached a stage at which costs and schedules are relatively predictable in the Rate Year. (Company SIR Testimony at 19-21). It does not appear that the Staff SIR Panel factored in Con Edison's analysis of the projections for its key sites when deciding to apply the Global Adjustment across all sites in the Rate Year.

Q. Can you please provide further detail?

A. The Ossining MGP Site, East 11th Street MGP Site, and Astoria Site are prime examples of key sites with significant cost projections for the Rate Year that are proceeding apace. The majority of the costs in the Rate Year for the Ossining MGP Site are associated with a redevelopment project under the New York State Brownfield Cleanup Program by a third-party developer that is already moving forward with remedial work. A large portion of the costs in the Rate Year for the East 11th Street MGP Site are associated with implementing the July 2024 Operable Unit 1 Decision Document, for which the DEC has been closely involved in coordinating outreach with the property owner and collaborating with Con Edison in expediting the work for commencement in the next few months. For the

Astoria Site, which is owned by Con Edison, much of the projected costs for the Rate Year are associated with the Pipe Yard Interim Remedial Measure, for which the DEC has already provided its concurrence on the work plan and Con Edison is proceeding with project procurement.

Q. Were there instances in which you did not include projects in the Rate Year because it was less likely that they would move forward in the Rate Year?

A. Yes. Con Edison deferred projected costs to beyond the Rate Year for other significant remedial projects for which the schedules are less certain. An example is the West 45th Street MGP Site, which the Company projected for Rate Year 3 due to a number of factors, including an anticipated complex and long-duration stakeholder engagement process that is in its early stages, making it less likely to proceed in the next year or so. (Company's response to Staff Interrogatory DPS-38-861, MARK FOR IDENTIFICATION AS EXHIBIT __ (EHS-10)).

Q. Does the Staff SIR Panel's proposed Global Adjustment to the entire SIR program account for the specific remedial status of each site?

A. No. The SIR site work that Staff would subject to the Global Adjustment in the Rate Year includes all sites, including those for which there is either investigative or Operation, Monitoring and Maintenance ("OM&M") work projected for the Rate Year. As described more fully in our initial testimony, the investigative and OM&M phases can be expected to have lower variability in costs and schedule. (Company SIR Testimony p. 17).

Q. Does the Staff SIR Panel's proposed Global Adjustment to the entire SIR program account for each site type?

A. No. Staff has also applied the Global Adjustment to third-party Superfund sites at which the Company is part of Potentially Responsible Party ("PRP") groups. The Rate Year projections for those Superfund sites are largely based on forecasts prepared by group counsel for the PRP groups rather than the Company's projections.

Q. What is your overall position regarding the proposed Global Adjustment?

A. A site-specific analysis of the key sites (that constitute approximately 90% of the Rate Year cost projections) shows that those sites are likely to proceed in the Rate Year as projected. A number of SIR sites are also in the

investigative or OM&M phase and have historically had low-cost variability. In addition, a number of site-specific projections in the Superfund category are largely based on third-party PRP group projections. Accordingly, there is no reasonable basis for applying an across-the-board Global Adjustment to the entire SIR program in the Rate Year.

Q. Does this conclude your testimony?

A. Yes, it does.